

The Denouement

The troubles that had seized the market were not fully over yet.

The final act of the dark tragedy was pending – R-Power's debut on the bourses two to three weeks away.

The first indications that the stock's listing could be an anticlimax of sorts came from the grey market, of course. The premium, which had climbed to as high as Rs 450 at one point – suggesting that Reliance Power shares would list at a 100 per cent premium to the issue price irrespective of the wider market mood – was now down to Rs 200 after the indices had shed 25 per cent in a week's time.

Even though their expectations had toned down considerably, investors in the issue still believed they could make a decent return. The massive demand for the IPO was the foundation on which this hope rested. If investors had got only a fraction of the quantity they had applied for, it stood to reason that they would be eager to buy the remaining quantity from the open market when the shares listed.

11 February was fixed as listing day for R-Power shares. The market appeared to be stabilizing in the run-up to the listing, and many players felt the worst was over. A good showing by Reliance Power could even get the market climbing again, they felt. The premium in the grey market, however, kept dipping, with not many deals taking place.

Outside of the grey market, everybody was looking forward to what was likely to go down as a historic moment in the annals of the Indian stock market.

There could not have been a bigger anticlimax.